



STATUS REPORT

Kenya — digital transformation and data governance status report

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GOVERNANCE · FINANCE · ICT INFRASTRUCTURE · DPI · DIGITALISATION · TECHNOLOGY · CAPACITY · INCLUSION · DATA · GEOPOLITICS

Governance

Strategies, plans and policies

Kenya's National AI Strategy 2025–2030, costed at KSh 152bn over five years, entered its second year with no dedicated allocation in the 2026/27 national budget, the KSh 8.6bn ICT vote going to broadband expansion, digital skills and government digitisation instead.

The instrument meant to govern the technology is still a draft. The Ministry of ICT and Digital Development opened public participation on the Kenya Artificial Intelligence and Other Emerging Technologies Policy on 21 July 2026, with submissions due by 4 August; no adoption date has been announced since. The draft asserts effects-based extraterritorial jurisdiction over any entity outside Kenya whose AI outputs are used in the country or have direct and foreseeable effects there, yet names no fine, no penalty ceiling and no enforcing body, and commits to risk-tiering systems and a central register of high-risk ones without defining "high risk" anywhere in the document. Delivery would sit with a Steering Committee and a National AI Council, an executive framework running alongside the Senate's separate AI Bill, so two AI instruments are in progress at once. A submission into the consultation argues the draft gives the sponsoring ministry an equity stake in the ventures it supports, making one body investor, regulator and procurer of the same market.

On hosting, ownership is clearer than execution. The Kenya Cloud Policy entered into force in May 2025, authorising cloud services for government and requiring alignment with the e-government interoperability framework, but the committee that is to accredit the providers eligible to host state data has not been constituted and the list of eligible providers is unpublished. Beneath the newer documents the older stack is ageing: the 2019 National ICT Policy Guidelines remain the governing ICT policy, the Digital Master Plan runs to 2032, the National Broadband Strategy's own period ended in 2023, and the DPI roadmap launched under an inter-ministerial steering committee in September 2025 is still under development.

Legislation and regulation

Kenya's virtual-asset market became a licensed market on 22 July 2026, when the Virtual Asset Service Providers Regulations were gazetted as Legal Notice No. 134 with the Central Bank and the Capital Markets Authority licensing jointly, and every operator already trading has until 4 November 2026 to hold a licence. Minimum capital is set by licence class rather than across the sector — KES 300m for stablecoin issuance, KES 150m for a wallet provider, KES 100m for an exchange and nil for an investment adviser — and the one-third ownership cap the draft had carried is absent from the gazetted text, which instead requires notification below a 10% shareholding and approval above it.

The telecommunications market structure is being relicensed category by category: [Gazette Notice 12180 of 7 August 2026](#) sets licence conditions for a Public Communications Access Centre and a Communications Equipment Vendor, effective 30 days from the notice, and a second notice on the same page covers five further categories, including Network Facilities Provider Tier 2 and Tier 3, Landing Rights Authorization and International Gateway Systems and Services. Under the access-centre conditions, from [7 September 2026](#) every cyber café must record each customer's name and identity number, the terminal used and the session times, keep the record for three years, and run content-filtering software that scans traffic in real time, on pain of a fine of 0.2% of annual turnover floored at KSh 500,000, about US\$3,860, and possible closure of the premises. The final rules dropped the mandatory CCTV and full browsing-history retention a December 2024 draft had proposed, and the regulator confirmed on [13 August 2026](#) that operators need not track customers' browsing history.

Nothing binds on artificial intelligence: the AI legislation, the AI and emerging technologies policy and the data governance policy were all still drafts on [30 July 2026](#), and amendments to the Computer Misuse and Cybercrimes Act were still only proposals in August 2026 after the Court of Appeal struck down that Act's false-publication offences as unconstitutional. Where law does exist it is sometimes incomplete on its face: the Digital Health (Data Exchange Component) Regulations 2025 create a service fee for users of the exchange and make non-payment a ground for action, then publish a Third Schedule that is a heading reading "FEES" with no figures under it. And a duty can be removed as quietly as it was added: a Bill sponsored jointly by the Senate majority and minority leaders would delete section 39(1G) of the Elections Act, the commission's statutory duty to livestream polling-station results, while leaving section 44's integrated registration, identification and transmission system untouched.

Data protection

The High Court found a sustained and systematic compromise of subscriber data at a telecommunications operator running across 2018 and 2019, rejected the argument that the theft was employees acting outside the scope of their employment, and awarded eleven petitioners KES 900,000 each in May 2026. The regulator that then acted was not the data regulator: on [3 August 2026](#) the Gambling Regulatory Authority confirmed it was investigating three licensed betting operators as alleged recipients of the compromised data, which included financial transaction records, betting activity, device identifiers and geolocation.

The Data Protection Act 2019 establishes the Office of the Data Protection Commissioner as an independent regulator, whose casework is wide and whose sanctions are narrow: by March 2025 it had received 7,128 complaints and resolved 97% of them, issuing 215 determinations and imposing penalties on ten entities, with cumulative administrative fines above KES 26m between 2022 and 2024. Compliance reporting exists internally and is not published. The ICT Cabinet Secretary threatened 185 betting and gaming firms holding children's data with shutdown in May 2026 for failing to register, and the Communications Authority is doing data-protection casework of its own, logging 19 data-breach complaints in April–June 2026.

Personal data processed for the "strategic interest of the state" — identity, elections, public finance, critical information infrastructure, education and healthcare — must be stored and processed inside Kenya, and controllers must notify the ODPC within 72 hours of becoming aware of a notifiable breach, processors their controllers within 48. No statute is dedicated to payment data: providers rely on the general Act together with Central Bank confidentiality requirements. On [3 August 2026](#) the ODPC put draft guidance on artificial intelligence, emerging technologies and privacy-enhancing technologies out for comment, requiring a documented adequacy assessment and a lawful transfer basis before personal data leaves the country for AI processing, and keeping accountability with the deploying entity in Kenya. Court oversight is live: a High Court injunction of [19 December 2025](#) froze the US–Kenya health framework and a suspension of its data-transfer component was reversed on appeal in June 2026, the case continuing.

Regional collaboration

The regional data rules Kenya would trade under bind nothing yet: East African Community rules on cross-border data flows and personal data protection were approved at official level on 24 July 2026 but must still pass the bloc's decision-making organs before any partner state can adopt them, and no adoption date is published, while the EAC Secure Data Sharing Framework behind them was only validated at a workshop in Dar es Salaam on 25 June 2026.

Monetary convergence is in the same condition. The 29th EAC Monetary Affairs Committee held the target date for a single currency at 2031 on 24 July 2026 while minuting that no partner state, Kenya included, had attained all four primary macroeconomic convergence criteria, the agreed remedy being a peer review mechanism for macroeconomic surveillance rather than any change to the target; operational frameworks for the bloc's 2026/27–2030/31 development strategy are still being developed.

Where the estate does cross the border it does so through built systems rather than through instruments. Kenya is one of three states piloting digital public infrastructure for cross-border trade under the African Continental Free Trade Area, its wholesale settlement system connects to the East African Payment System and the COMESA regional arrangement, PesaLink joined the Pan-African Payment and Settlement System for local-currency transfers into Kenyan accounts and wallets in 2026, and Kenya, Rwanda and Uganda accept each other's national IDs as travel documents. Against that, regional integration is among Kenya's ten most deteriorated measures in the 2024 Ibrahim Index, down 14.1 points over 2014–2023 to 43.7 of 100 and 31st of 54 African states.

Standards

Kenya's newest instrument would duplicate a standards regulator it already has: the standards-setting mandate the draft AI policy gives a proposed Technology Council overlaps the existing mandate of the Kenya Bureau of Standards. Below that, shared standards exist but are unevenly applied — the government interoperability framework is in place yet only partially used, with its workings and data-sovereignty terms unpublished, while procurement runs through an electronic system used across government to enforce technical standards. Sector rules are issued one at a time: the Communications Authority has published guidelines for the implementation and provision of VoIP services, and no direct-to-cell satellite service had been approved as at 4 August 2026.

Public debate and participation in policymaking

The space for online speech in Kenya has been widened by litigation rather than by legislation. A challenge to the 2025 amendment of the Computer Misuse and Cybercrimes Act struck out the coordination committee's power to shut websites without judicial oversight, along with a provision criminalising speech deemed to cause suicide; the Bloggers Association of Kenya's five-year Court of Appeal challenge struck down the same Act's false-publication sections; and a conservatory order blocks any national internet shutdown pending a full hearing. The widening is not final: the National Assembly has asked the Supreme Court to restore sections 22 and 23, which carried fines of up to KSh 5m and up to ten years' imprisonment, arguing they reach neither opinion, satire nor good-faith error but only knowing publication presented as authentic (August 2026). Running the other way, an Access to Information (Amendment) Bill would criminalise sharing classified information over personal WhatsApp or email, and disclosure of public records, one of Kenya's stronger measures continentally, has slipped over the decade to 2023.

Reporting the argument is riskier than making it. Media freedom is among Kenya's ten most deteriorated measures in the 2024 Ibrahim Index, down 16.8 points over 2014–2023 to 57.8 of 100 and 21st of 54 African states, and at the OI Kalou by-election on 16 July 2026 masked men assaulted NTV, Nation and Star journalists and took their cameras while police stood by.

The public consultation on the AI and emerging technologies policy, opened by the ICT Cabinet Secretary, closed on 4 August 2026. On platform governance, civil society sits inside the drafting process rather than only responding to it, and that review recommended mandated disclosure of algorithmic parameters and risk assessments, researcher access to platform data under privacy safeguards, and multilingual moderation benchmarks reaching beyond Swahili. An online citizen participation platform is in operation alongside a citizen feedback mechanism through which government responds, and a youth internet-governance ladder feeds a Youth Position Paper into the national delegation ahead of Kenya hosting the global Internet Governance Forum in December 2026. The civic side is externally funded and time-limited: a €1.3m EU grant ran from 2023 to 2026 to strengthen civil society as an independent actor of accountability, a €1.485m grant runs from 2024 to 2028 to bring young people in Kwale and Nairobi into digital policy design, and the EU-funded KenSafeSpace digital-rights coalition closed in July 2026 after 30 months.

Finance

MoUs and other agreements

The EU–Kenya Digital Partnership put KES 15.3 billion (about US\$118 million, June 2026) behind Kenya's digital infrastructure, connectivity and innovation, agreed after talks between President Ruto and senior EU officials and approved rather than disbursing. Tether and the Nairobi Securities Exchange signed a memorandum of understanding on 28 July 2026 covering blockchain market infrastructure for tokenising and settling NSE securities, fractional access for local and diaspora investors, and an undertaking to assess US-dollar tether as a settlement layer where permitted; no commitment figure was disclosed. Nothing beyond those two is established as signed and binding as at August 2026: the health cooperation framework with the United States states an intention to fund health data systems rather than an obligation to, the EcoCloud–G42 memorandum for a geothermal-powered data centre at Olkaria never became a financed project, and the widening technology track with South Korea carries no amount or instrument.

New investments

Kenya's recorded digital finance runs to 72 country-specific commitments worth about US\$2.6 billion over windows running from 2014 to 2033; 45 are active and 20 closed (2026). Concessional loans carry the most money, roughly US\$1.15 billion; grants are the commonest instrument, 23 of the 72 worth about US\$250 million, and 16 equity investments account for a further US\$425 million. The money splits evenly between state and private recipients, 31 each. Connectivity draws more commitments than any other part of the estate, ahead of data storage and the ICT industry, and the European Union appears more often than any other financier, ahead of USAID and the US DFC. The largest single live public commitment is the World Bank's US\$390 million Digital Economy Acceleration Project; no other active commitment exceeds US\$200 million.

Safaricom's M-PESA revenue rose 13.4% to KES 182.7bn in the year to 31 March 2026, 45.6% of its Kenyan service revenue, and its wealth-management assets under management more than doubled to KES 21.0bn, KES 18.7bn of it in the Ziidi products. Safaricom and the Nairobi Securities Exchange opened share and corporate-bond trading inside the M-Pesa app on 10 February 2026, built with the Capital Markets Authority and the Central Depository and Settlement Corporation. The Nigerian fintech Moniepoint entered the market in April 2026 by buying the CBK-licensed Sumac Microfinance Bank, and Airtel's data-centre arm Nxtra raised US\$1 billion from Alpha Wave Global, Carlyle and Anchorage Capital in April 2026, a group-level raise rather than a Kenyan commitment.

Kenya takes all three of the IFC's first Catalytic First Loss Guarantee transactions in Africa — US\$24.2 million of shilling-denominated first-loss cover to 4G Capital, Equity Bank Kenya and KCB Bank Kenya, backed by US\$11 million from the IDA Private Sector Window (August 2026) — cover standing behind lending rather than money in

the ground. [Korea is the second-largest bilateral concessional lender to the estate after China](#), across a Nairobi traffic-management system and a Digital Media City at Konza Technopolis. The [KES 152bn the ICT Cabinet Secretary announced for AI on 26 March 2026](#) has no budget line, schedule or financing source behind it.

ICT Infrastructure

Connectivity

Kenya's networks now reach almost everyone and are used by about a third of the country. [Mobile signal covered 98.0 per cent of the population in the year to 30 June 2025](#), with 4G at 97.9 per cent and 5G at 30.0 per cent, while the Communications Authority and the national statistics office found [internet use of around 35 per cent in the 2023/24 housing survey](#). The headline of [84.1 million mobile subscriptions in the quarter to 31 March 2026](#) counts SIMs; 53.7 per cent of individuals owned a mobile telephone in 2024, and smartphones were 62 per cent of mobile connections in 2025.

The fixed market is small, growing fast and concentrated. [Fixed internet subscriptions grew 42.9 per cent to 2.1 million in the year to 30 June 2025](#), and fibre alone accounted for 1.47 million of them by 31 March 2026. Safaricom held 68.9 per cent of the mobile market with 57.9 million subscribers in the quarter to 31 March 2026 and 35.4 per cent of fixed broadband with 941,501 lines, so one company's failure is a national event. Starlink entered the top ten fixed providers for the first time in the quarter to 31 March 2026, with 24,999 subscriptions and 0.9 per cent of the market. Behind them, international bandwidth rose 16.4 per cent to 28,130 Gbps in the same quarter, and the Nairobi internet exchange carries more than 130 peering members, Amazon, Meta, ByteDance and Huawei Cloud among them.

Ownership and money are moving with it. [Axian Telecom completed its purchase of 99.63 per cent of Wananchi Group in November 2025](#), taking ownership of Zuku, the consumer fibre and IPTV operator. Connectivity draws more external commitment than any other part of the digital estate — 15 commitments worth about US\$775 million — led by [the World Bank's US\\$390 million Digital Economy Acceleration Project for 2023–2028](#). The standing national target is [100,000 kilometres of fibre reaching all 1,450 wards](#).

Data Storage

Kenya's flagship hyperscale build failed on electricity rather than capital: the [US\\$1 billion Microsoft–G42 data centre at Olkaria has stalled](#) because its planned 1 GW draw is about a third of the country's roughly 3 GW grid, and President William Ruto said in July 2026 that serving it would black out half the country.

What the state itself runs is modest and full. [Konza National Data Centre hosts 145 of Kenya's 451 government institutions and has served 189 customers since it was commercialised in 2021](#), drawing about 300 kW of IT load against 706 kW of certified capacity, and its 1,292 TB of storage was fully used as at April 2026. The expansion that would relieve it, targeting 280–300 racks and 1–2 MW, only closed to bids for a transaction adviser on 22 April 2026, and carries no AI infrastructure — no GPU clusters at all. The estate's resilience half is in dispute rather than in service: the Auditor-General records that a High Court award of Kshs 4,099,636,848 made in December 2022 over Phase III of the National Disaster Recovery Site still stood at Kshs 4,091,619,712 outstanding on 30 June 2025, interest accruing at 12 per cent a year, with no settlement roadmap provided to the audit.

Commercial capacity is well ahead. Nairobi carries a multi-operator market: Africa Data Centres runs a Tier III facility with around 7.5 MW, iColo a 280-rack colocation site in Karen, and iXAfrica a 22.5 MW campus on Mombasa Road, the last of these [East Africa's largest publicly announced facility by installed capacity until Airtel's 44 MW Nxtra build at Tatu City opens](#), a date that has already moved from the first quarter of 2027 to July 2027. Safaricom

moved M-Pesa's core onto a cloud-native architecture hosted locally in Huawei Cloud in September 2025, and a run of sovereign-cloud launches has opened on iXAfrica's floor — Servernah in March 2026, Baobab's shilling-billed public cloud with no egress fees in May 2026 — alongside Oracle's Nairobi region, Kenya's first public cloud region.

Foreign hyperscaler presence remains thin, AWS running a Local Zone in Nairobi parented to the Cape Town region rather than a region of its own. Under the government's cloud policy, the state spends about KSh 10 billion a year on ICT and data-centre running costs (2026) across an estate that runs several separate cloud platforms rather than one national one, on a hybrid model and holds government data both inside and outside the country under arrangements it does not publish.

Energy

Kenya's grid reaches much further than it connects: Afrobarometer's 2024 survey found 82 per cent of rural respondents living within reach of the national grid but only 51 per cent of rural households actually connected, against 98 per cent reach and 90 per cent connection in towns; about 76 per cent of the population had access to electricity in 2025.

Price is part of the gap. Kenya Power's approved residential tariffs run at KES 12.23 per kWh for the first 30 units a month, KES 16.45 from 30 to 100 units and KES 19.08 above that, all before levies and VAT. Against incomes, that makes basic service dear, and it is the reason a decade of genuine progress still leaves the country mid-table: access to energy was Kenya's third most improved measure in the 2024 Ibrahim Index, up 30.9 points over 2014–2023 to 52.8 of 100 and 16th of 54 African states.

The mix is unusually clean — about 92 per cent of generation came from renewable sources in 2025 — and off-grid supply is a financed industry rather than a pilot. Kenya has a comprehensive off-grid electrification framework with significant deployment, principally through the Kenya Off-Grid Solar Access Project in underserved counties, and development finance now buys the household receivables outright: Norfund took NOK 177.2 million of a US\$130 million securitisation for Sun King Kenya in 2023, structured entirely in Kenyan shillings and raised against customer payments on metered solar systems collected through mobile money. What the grid cannot yet carry is concentrated industrial load: the country's flagship hyperscale data centre stalled for want of power.

Technical Capacity

The part of Kenya's governance record moving backwards is the machinery that would build and run its systems. Public administration fell 2.5 points over 2014–2023 to 56.1 of 100 and 24th of 54 African states in the 2024 Ibrahim Index, the country's weakest rank within Foundations for Economic Opportunity, even as effective administration held at 69.3 of 100 and 10th place, essentially unchanged over the decade.

The private base is stronger: Kenya's software engineering workforce is among the largest in Africa. It is also mobile, and the senior layer is thin. Three senior Safaricom executives covering financial services left within five months of March 2026, two of them to banks Safaricom competes with, the last on 31 July 2026 with only an interim successor named.

Cybersecurity

Kenya's presidential website has been defaced twice within eight months. In November 2025 a coordinated attack took the presidency portal offline along with the sites of five ministries, the immigration department, the Directorate of Criminal Investigations, and on 18 July 2026 attackers defaced president.go.ke, demanded five Bitcoin by that evening and threatened to leak material about President William Ruto. State House worked with the National KE-CIRT/CC to restore the site, but as at 20 July 2026 nobody had claimed it, the government had made no attribution and had not said how access was obtained.

On paper the state is a leader. The ITU placed Kenya in the top role-modelling tier of its 2024 Global Cybersecurity Index, scoring above 80, a measure of declared commitment, not of operations. The institutions are newer: Parliament approved the National Cyber Security Agency Order, 2026 in June 2026, creating a central authority for critical-infrastructure protection, incident response, strategy and resilience audits, and it was still being formed in August 2026, with amendments to the Computer Misuse and Cybercrimes Act still only proposed. Cyber is also the thinnest-funded part of the digital estate: two commitments totalling about US\$15 million, both from the European Union, including a €3 million Kenya Cyber Resilience project launched in January 2026.

The sharper exposure is at the identity layer. Fraud and scam complaints to the Communications Authority rose 83 per cent to 86 in April–June 2026, against 23 a year earlier, and digital financial services and mobile money complaints reached 110 from 13, and the regulator blames unauthorised SIM replacement, identity theft and weak customer verification. Liability has now attached: the High Court held Safaricom 60 per cent and Diamond Trust Bank 40 per cent liable for a KES 4.4 million SIM-swap fraud in July 2026, Safaricom having completed a swap the customer had already reported. Formal protection arrives piecemeal: the health data exchange's shared resources are designated critical information infrastructure by regulation, breach notification is a duty of the data protection regime, and no independent external security audit of the digital ID system has been published.

DPI

Data Exchange

Kenya's one data exchange with a statutory footing sits in health, and the gazetted text leaves its price blank: the Digital Health (Data Exchange Component) Regulations, 2025 commenced on gazettelement on 11 April 2025, alongside an operational companion instrument the same day, and require users and consumers of the shared resources to pay the service fee specified in the Third Schedule — a schedule that, as served by Kenya Law in August 2026, carries its heading and no figures at all. Regulation 11 names those shared resources as the national health data dictionary, the client registry, the facility registry, the health worker registry, the Kenya Health Enterprise Architecture and the national logistics platform, and onboarding is fee-bearing, with failure to pay a stated ground for action against a health data controller.

Above health there is no unified national hub. Interoperability is delivered by sector-specific systems — eCitizen, the digital ID sitting over the population registries, IFMIS in public financial management and the KeHMIS layer in health, and an X-Road-based test environment run between April 2024 and June 2025 produced an interoperability framework document rather than a production platform. The World Bank records a government interoperability framework in place but only partially used, its workings and data-sovereignty terms unpublished, with tax, customs, human resources, debt, public investment, social insurance, procurement and financial management connected both point-to-point and through a Government Service Bus. What flows is mostly bilateral: iTax exchanges data with the National Registration Bureau, the transport management system and the Business Registration Service, and KRA's GavaConnect exposes tax compliance as an API; the land register is wired point to point to eCitizen, iTax, the population register and the business register; the social protection single registry authenticates cash transfer beneficiaries against their national ID numbers. The voter register is the visible exception: checks against national ID, passport and death records run on manual collaboration and periodic file exchanges, with an API to the population register still under discussion in April 2026.

Digital Identity and CRVS

The national identity card is now free to obtain: the first-time application fee of KES 300 was waived entirely in March 2025 and a November 2025 gazette notice waived the KES 1,000 replacement fee for six months, and a presidential proclamation also removed the extra vetting that applicants in border counties had faced. In January 2025 the Milimani High Court ordered the state to deregister some 40,000 border residents wrongly logged in the refugee database within 60 days.

The system rests on Section 9A of the Registration of Persons Act, inserted in 2018; no standalone digital identity act has been enacted, and on the 2020 NIIMS Rules, which establish the database, the Maisha Namba and card, make the credential sufficient legal proof of identity, and carry it into government services, banking, SIM registration and East African Community travel. Registration is compulsory for citizens at 18. Biometrics are ten fingerprints, facial images and iris scans, DNA and GPS collection having been struck down in Nubian Rights Forum. The identifier is lifecycle-based, assigned at birth registration, doubling as the birth certificate number, with a minors' card at six and an adult card at 18, and issuance at 18 is moving to automatic generation from civil registration data.

Holding it opens the state. A national ID is required to enrol in the Social Health Authority, and biometric verification of patients was deployed at all level 4 to 6 public hospitals by August 2025; it is required for SIM registration under the 2025 telecommunications subscriber rules; it gates social protection payments, social security enrolment and school registration; and the number runs as a shared identifier across education, health, tax, social security, eCitizen and the land registries, on a hub and spoke centred on the population register.

Oversight runs through litigation rather than audit. No independent security audit and no data protection impact assessment have been published, and no access log is exposed to the data subject. The courts halted NIIMS in 2020, annulled the Huduma Card rollout in 2021 and have issued further injunctions on Maisha Namba, with a consolidated constitutional petition still pending.

Digital Payments and Fintech

The Central Bank moved the retail price of Kenya's dominant payments rail in August 2026 without issuing an instrument: Safaricom cut M-Pesa business tariffs by up to half from 7 August, attributing the change in its own customer notice to alignment with the Central Bank's pricing principles, with no legal notice, directive or gazetted schedule behind it. Pay to Mobile in the Sh501–1,000 band fell from Sh13 to Sh7, and the free threshold on Lipa na M-Pesa Buy Goods doubled from Sh200 to Sh500.

The rail those prices sit on is one company's. Safaricom's audited results report 40.99m one-month-active M-Pesa customers in Kenya at 31 March 2026 and KES 41.68tn moved across 46.41bn transactions; M-Pesa held 89.1% of the mobile-money market at March 2026 against Airtel Money's 10.9%, and the low-value Kadogo tier accounted for 58% of all platform activity in the year to March 2026. On 30 June 2026 Vodafone Kenya's shareholding rose to 55% and the state's fell to 20%, leaving a foreign-controlled entity operating systemically critical payments infrastructure. Reach is wide: 47.6m active mobile money subscriptions at 30 June 2025 and 90.7% of adults making or receiving a digital payment in the Global Findex reference period (2024).

The Central Bank owns and operates the wholesale KEPSS system, but the retail instant scheme PesaLink is operated by Integrated Payment Services Limited and owned by the Kenya Bankers Association and connecting more than 80 banks, fintechs, telcos and SACCOs, with no seat reserved for small providers or consumer interests on its governing board. A fast payment system and national switch are being designed, drawing bids and alliances from Kenswitch with Visa, the banks through IPSL, and Nigeria's NIBSS with Ceva, on top of mobile money interoperability in force since 2022. Government payments run digitally — salaries through the personnel payroll

database and social transfers through contracted providers, pensions onto the integrated online system from August 2025 — while the Hustler Fund now accepts Bonga Points as loan repayment, and the Auditor-General found 104,631 of its loans worth Sh116.5m issued to borrowers whose national ID details were missing.

Registries

Being registered and holding the document are not the same thing in Kenya: birth registration completeness stood at 77.1% in 2023, while only 34% of registered children held a birth certificate at the 2022 Demographic and Health Survey, and death registration runs far behind births. Civil registration is one of the country's ten most deteriorated measures in the 2024 Ibrahim Index, down 12.5 points over 2014–2023 to 50.0 of 100 and 31st of 54 African states.

The mechanics explain the gap. Rural registration agents complete Form B1/D1 in duplicate on paper and forward copies to the sub-county office for manual entry, so digitisation happens at central aggregation rather than at the point of service, and the electronic civil registration database remains partially deployed. A digital birth e-notification linking hospitals directly to Civil Registration Services and the identifier generator started as a Nairobi County pilot in 2026 and is still being extended, while the Registrar of Marriages ended manual certificate printing entirely in January 2026.

The registers are joined at the identifier rather than through a platform: birth registration has required the parents' national ID numbers since 2008, civil registration feeds the Maisha Integrated Database combining national ID, birth and death records and foreign national and refugee records, and the Maisha Namba is the birth certificate number, becomes the national ID number at 18 and serves as the death certificate reference. The population register itself is only partially deployed.

Elsewhere, coverage varies sharply. Company and business name registration is fully operational online, and the social protection secretariat runs an enhanced single registry of vulnerable households. Land is partial on both halves: ArdhSasa is being brought live county by county, the cadastre is kept as a separate module under the Director of Surveys, and title issuance covers under a third of the country. The voters roll stood at 22,120,458 after the audited June 2022 revision, 79.41% of the eligible electorate. And there is still no operational national address register: the Bill was at stakeholder consultation in June 2026 with governance contested between the Communications Authority, the counties and national departments.

Sectoral management information systems

Kenya's health data systems are being built with American money on terms that leave Kenya the bill for running them: a December 2025 cooperation framework covers developers, product managers, systems engineers, cloud capacity, software licences and hardware, while ongoing licensing, cloud and hardware maintenance and replacement fall to Kenya wherever the US Government does not specifically pay. The money is earmarked against named systems: the TaifaCare health management information system, the national logistics management system, surveillance systems, a laboratory information management system, KEMSA's iLMIS and national and county health data banks. USAID activities running from 2015 to 2026 built and sustained the national health management information system, DHIS2 and KHIS2 and county health information systems.

An interoperability layer built on the OpenHIE framework and HL7 standards connects eight health systems; the Social Health Authority's own system is spreading across facilities carrying billing and claims rather than clinical records; and rural primary care is still documented mainly on paper registers, with electronic systems running in parallel chiefly for HIV care and billing. The Authority has begun biometric enrolment of dependants aged 7 to 17, issuing each child a Maisha Namba linked to their health record, and a High Court petition filed on 4 August 2026 names a private firm as recipient of a disputed Sh1.2bn system utilisation fee on the claims platform.

Education has made the system the condition of the money: KEMIS replaced NEMIS and became mandatory for capitation disbursement from June 2026, so a school's funding depends on its returns, with nearly all public schools submitting data. Revenue runs on iTax, with tax administration on commercial software, customs custom-built. Public financial management is the most complete layer: IFMIS operates across national government and all 47 counties, a treasury single account is used extensively by all ministries, departments and agencies, and custom-built human resource, payroll, debt and public investment systems are in use, the HR system keyed to the national identifier. Policing is furthest behind: rural stations record cases on paper occurrence books and dockets, with the digital occurrence book rolling out from selected station pilots.

Other GovTech and e-Gov

Filing a tax return in Kenya now runs over WhatsApp: the Revenue Authority launched a chatbot filing service in April 2026 that cuts the process from eight steps to three, putting a state revenue function on a Meta-owned messaging platform and extending traceability into an informal economy that had escaped it.

The front door remains eCitizen. It offers single sign-on linked to the national digital ID across more than 16,000 public services, with over 13 million registered users as at late 2025. Passport application, issuance and renewal are fully digitised through it, and a diaspora portal launched in February 2026 integrates immigration services for citizens abroad, the same month the Kazi Majuu overseas employment programme was added; driver licensing, renewal and verification run through it as part of the onboarding of ministries, departments and agencies. Around it sit an online tax portal offering registration, filing and payment, a social protection portal offering registration, benefits and payments, government jobs portals for citizens and public employees, and company formation on the service portal. Businesses meet the state through an electronic procurement system in use across government, supporting online tendering and contract management and interfacing with other systems, and public-private partnership arrangements exist for online service delivery.

Coordination has an owner but little published record: an institution responsible for coordinating digital transformation across ministries is established, while documentation of the estate is largely internal and unpublished. Kenya is nonetheless placed in the top band of the World Bank's 2025 GovTech Maturity Index, alongside Rwanda, Uganda, Egypt and Tanzania. Newer work is at proof-of-concept stage: a W3C verifiable-credentials wallet for verifying civil service qualifications without a central credential database was completed with the Public Service Commission in March 2026, and parliamentary research, committee and budget staff were using public AI tools on personal judgment with limited monitoring of data flows. The largest single bill is electoral: Parliament approved a further Sh33.5bn for 2027 election technology on top of the Treasury's Sh41.3bn, taking the programme to Sh74.8bn, with MPs challenging the replacement of working KIEMS kits and the climb from Sh61bn within weeks.

Digitalisation

Digitalisation of sub-national government

Kirinyaga County had installed 102.4km of fibre connecting all five of its sub-counties to the One Government Network, with nine public Wi-Fi hotspots and a second phase under way, as at January 2026 — one county of Kenya's 47.

The system that does reach the whole county tier is financial: the [Integrated Financial Management Information System operates across the national government and all 47 county governments](#), covering treasury functions and budget preparation on commercial off-the-shelf software (2025). Below that, the county tier is where the shared data exchange stalls: the vendor of the national interoperability pilot found [limited local connectivity, non-digitised records and siloed manual systems](#) still in the way (2025).

Regulation has arrived ahead of the systems it regulates. The Office of the Data Protection Commissioner [told counties in March 2025 that each department headed by a County Executive Committee member must register separately as a data controller, and again as a processor where it handles data for a third party](#), while its own outreach was reaching constituencies a handful at a time.

Rural digital data capture

Outside the capital the record is still made on paper and turned into data afterwards: [rural civil registry offices write births and deaths onto duplicate forms and send them to the sub-county office for manual entry](#), so the digital step happens at central aggregation rather than at the counter, [rural police stations work the same way on Occurrence Books and paper dockets](#), and [paper registers still carry routine care in rural clinics](#). Kenya's national interoperability pilot ran into [limited local connectivity, non-digitised records and siloed manual systems](#). Mobile signal reaches [almost the whole population](#), but a signal is not a workstation, and the [rural-urban gap in household grid connection](#) is the other half of the constraint.

What gets built for rural users is largely privately or donor financed. [InfraCo Africa invested US\\$6 million in Mawingu Networks in 2023](#), a provider delivering fixed wireless broadband to rural households, schools and health facilities from solar-and-battery powered towers — seven years after [OPIC lent the same company US\\$4.1 million alongside Microsoft to deploy TV white space](#) in 2016.

Agriculture is where capture is now being attempted across a whole sector. The African Development Bank has financed a [Rural Transformation Centres Digital Platform](#), an XDR 600,860 grant for a single platform connecting smallholders, cooperatives, agro-dealers and public services, at finalisation in 2026, and the [Farmer Visibility Project](#), announced on 30 July 2026 by Heifer International, Mastercard and KCB Bank Kenya, targets 30,000 dairy farmers over a nine-month pilot, digitising milk deliveries, payments and input purchases so that the accumulated transaction record stands in for the credit history smallholders do not have.

Kenya scores far better on the policy than on the outcome: [first of 54 African states for rural economy support in the Ibrahim Index](#), at 96.3 of 100 and up 15.5 points over the decade to 2023, while rural market access is the weakest of its four rural economy measures at 59.8 of 100, 24th of 54 and down 6.3 points over the same decade. The public instrument aimed at the gap is the Communications Authority's [Universal Service Fund strategy for 2023-2027](#).

Technology

AI

Kenya's first constitutional challenge to artificial intelligence in payments [reached the High Court in April 2026](#), brought against Safaricom over its Zuri chatbot and the automated decisioning behind M-Pesa approvals, reversals, fraud detection and credit scoring. It arrives ahead of any binding instrument. Kenya published a [National Artificial Intelligence Strategy 2025-2030](#) setting direction across broadband, cybersecurity, data centres, data protection, digital identification and payments, but the [draft Artificial Intelligence and Other Emerging Technologies Policy](#), issued for public participation on 21 July 2026, remains a draft, and the data protection regulator has [moved on the cross-border transfer route ahead of it](#).

The draft would [tier AI systems by risk](#), attaching mandatory impact assessments and independent audits to high-risk deployments and requiring human-in-the-loop oversight where decisions affect legal rights, health or public benefits. It would give people [a right to know when an AI system is acting on them](#), covering automated decisions materially affecting rights or access to services and AI-generated or substantially altered public content. And it would require [a centralised public registry of AI systems deployed in the public sector](#), pointing the transparency duty at what the state itself runs.

Procurement is moving faster than the policy. The Ministry of Health's tender for the KNPHI enterprise resource planning system [makes a phased generative-AI module mandatory](#) and binds the supplier to disclose the model, provider, processing location and retention, with the AI advisory-only and fully logged (July 2026). In the government data exchange, AI [sits in strategy and roadmap rather than in operation](#). Private deployment runs ahead of both: [Absa Bank Kenya piloted a deepfake-detection agent at account opening and adopted an internal AI policy](#) (2025), and [Apollo Agriculture underwrites smallholder credit with satellite data and machine learning](#), on a US\$9.5 million US development-finance loan (2021).

Automated moderation does not track Kenyan speech. A year of annotation by KICTANet traced the Sheng term *asalimiwe* from a 2024 accountability call against officials into [a phrase directing mobs at private women](#), concluding that detection has to be community-rooted and human-reviewed rather than scaled by model (July 2026).

ICT Industry

Kenya's ICT sector is growing more slowly than it was: value added rose from KSh 339.5 billion in 2023 to [KSh 364.5 billion in 2024](#), with sector growth down to 7.0 per cent from 10.3 per cent the year before, on total ICT output of KSh 701.3 billion (2024).

The exposure showed in April 2026, when [Sama cut 1,108 jobs in Kenya after Meta ended its content-moderation and data-annotation contract](#) — one client's withdrawal removing more than a thousand posts, and with them the idea that Kenya's AI-outsourcing business rests on more than a few US buyers. The draft AI and Emerging Technologies Policy would put the response inside the technology instrument rather than in labour law, [setting minimum standards for content moderators, data annotators and AI quality evaluators](#) — pay transparency, psychosocial support, grievance procedures, a duty of care against prolonged exposure to disturbing material, and a fair-pay framework benchmarked against international rates with mandatory disclosure, binding international firms operating through outsourcing partners as well as local employers.

The strongest part of the domestic sector sits around M-Pesa. Safaricom's Daraja developer portal carried [more than 105,000 developers and 66,000 integrations when it was rebuilt as a cloud-native version 3.0 in November 2025](#), adding payment interfaces for connected devices as API traffic grew. That base builds against a business environment scoring well in regional comparison: [business and competition regulation reached 81.9 of 100 in 2023, fifth of 54 African states and up 14.4 points over a decade](#).

Large government technology projects run on concessional foreign finance rather than domestic supply. Korea's development cooperation fund lent [US\\$100 million in 2019 for the second phase of Nairobi's intelligent transport system](#), Germany committed [€23.8 million over 2021-2025 to a Digital Transformation Centre](#) aimed at the gap between Kenya's high internet uptake and its workforce's digital skills, and a Korean-financed [Digital Media City at Konza Technopolis](#) is under financing agreement. The counterweight is small: the Universal Service Advisory Council has [turned universal-service attention toward locally assembled devices](#) rather than device subsidy (August 2026), and the desktops procured for the [Digital Hubs](#) were locally assembled.

Innovation ecosystem

Kenyan startups [raised more venture funding in 2024 than any other African market](#), and Kenya ranked [96th on the WIPO Global Innovation Index](#) the same year. Capital finds Nairobi; the measured capacity to convert it does not follow at the same rate.

The statutory frame is more than a decade old. The [Science, Technology and Innovation Act of 2013](#) remains the framework for research and innovation, including startup support, administered through NACOSTI. Around it sits one of Africa's densest concentrations of innovation hubs, with [more than 25 innovation and technology hubs](#) in the AfriLabs network (2024).

Inside government the picture is thinner. An [established public-sector innovation body](#) operates with a remit for public service innovation, but Kenya has [either a public-sector innovation strategy or a programme, not both](#) (2025).

Early-stage financing has come substantially through development finance rather than domestic funds. The IFC committed [up to US\\$3 million as a limited partner in Savannah Fund II](#), a Nairobi fund raising up to US\$25 million for pre-seed and seed companies in fintech, edtech, agritech and digital platforms (2021), and Novastar Ventures co-led a [US\\$10 million Series A for Turaco](#) in 2022, an insurtech embedding health and life cover into digital platforms, agribusinesses and logistics firms across five African markets.

New firms are building rather than reselling. [Zerobionics](#) builds humanoid robots that render speech into sign language in real time for deaf students, delivered over 2G so that a teacher without sign language can instruct remotely, and [Vumah Labs](#) builds content-authenticity detection and consent-management tooling. In May 2026 Qhala, Amini AI, Angani and iXAfrica [formed the Qubit Hub](#) to host an African AI research and compute laboratory on a Nairobi campus, aimed at compute, talent and community for builders across the region.

What will govern all of it is not an AI instrument in any narrow sense. The draft policy's subject matter [extends to blockchain, the internet of things, robotics, autonomous systems, extended reality, advanced communications and quantum-related technologies](#), making it a general technology-governance instrument carrying an AI title.

Capacity

Literacy

Kenya gets children through school far more reliably than it gets them into it: on the 2024 Ibrahim Index its [enrolment score of 49.5 ranks 16th of 54 African states, up 6.7 points over the decade to 2023 and well short of its completion score of 86.0](#) (2023). Education as a whole is one of the country's three strongest showings in that index, [scoring 67.0 for 6th place of 54, up 2.5 points over 2014–2023](#) (2023). The gap in the record is the teaching workforce: of the 96 indicators the index scores, [human resources in education is the single one for which Kenya returns no data at all, so its teachers cannot be measured or ranked against the continent](#) (2023).

Against that schooling base, the digital-literacy floor is thin and largely externally funded. The state's own digital skills programme [does not extend to citizens and schools, and the strategy behind it is not published](#) (2025). What does reach schools arrives through donors: EU money for [last-mile school connectivity](#), delivered with UNICEF, the ITU and the government under [the Giga programme across all 47 counties](#) (October 2023). Citizen-facing teaching follows the same pattern, with a UK-funded programme [running digital literacy and digital financial access work across eight arid and semi-arid counties to March 2026](#) (2025), and the data protection regulator running [its own constituency-level advocacy in a second round of constituencies](#) (March 2025). Education data is meanwhile being folded into the identity system through KEMIS, which replaces NEMIS and issues the [Unique Personal Identifier to every child](#) (May 2025).

Training and skills

Kenya's vocational sector is being digitalised almost entirely on foreign concessional money, and three lines are running at once. KfW is lending €18 million over 2025–2030 to digitalise technical and vocational education, working both at selected vocational training institutes and at national government level, on top of its earlier €5 million concessional loan of 2020–2026 for ICT-focused technical and vocational training, while the EU is spending €9.9 million over 2023–2028 aligning course offerings and facilities in selected TVET institutions with a digitally enabled economy. Germany separately funded a Digital Transformation Centre over 2021–2025 aimed at the distance between Kenya's smartphone and internet uptake and its workforce's digital skills, and EU money is also building national cyber skills alongside critical-infrastructure hardening (January 2026).

The state's own training effort points inward. Kenya has a digital skills strategy for the public service and a training programme running under it, covering basic digital skills and data literacy (2025), and the 2026/27 ICT budget names digital skills among its targets (July 2026). The Digital Hubs are intended to carry the public-facing side, delivering digital skills, artificial intelligence, software development, online work and e-commerce training as well as access to government digital services, with centres of excellence and standard hubs still under construction (August 2026). Inside government, parliamentary research, committee and budget staff were found using public AI tools on personal judgment, with limited monitoring of data flows while being trained in AI-assisted research (July 2026).

Where good training is offered, demand outruns it: KICTANet's Kenya School of Internet Governance has trained more than 400 people since 2016, and its latest cohort drew 555 applications for 51 places, of which 45 completed (August 2026). The same organisation runs a youth internet-governance ladder feeding a position paper into the national delegation (August 2026).

Research institutions

Every gap a submission to Kenya's AI policy consultation names is a research-capacity gap: it lists research investment, universities producing AI researchers, affordable high-performance compute, secure data infrastructure and local datasets reflecting local realities as what the draft policy does not reach (July 2026). The statutory frame around research is over a decade old — the Science, Technology and Innovation Act of 2013, administered through NACOSTI, remains the basis for research and innovation, including startup support. Where domestic knowledge is produced it tends to come from civil society rather than the universities: a year-long KICTANet project with Meedan classified over 1,000 Kenyan social-media posts and found that none of the harm in them would trip a keyword filter, building the kind of local-language labelled dataset the AI submission says the country lacks (July 2026).

Inclusion

Access to services

Kenya's Financial Inclusion Fund, the Hustler Fund, has been all but defunded: state money fell from Sh20 billion at launch to Sh300 million in the year to June 2026, the Treasury has added nothing this year, and 15 per cent of its lending is in default (March 2026).

Documentation is the gate. 42 per cent of unbanked adults give ID documentation as the reason they hold no account, against 84 per cent of adults using mobile money (2024), and the card is the mandatory field for social protection, the pension fund and school enrolment, so one missing document closes several doors. The card is now free and border-county vetting has gone; the register's shortfall has not.

Legal Notice No. 90 of 30 May 2025 recognises the Refugee ID Card for SIM registration, opening mobile money to refugees. Take-up is thin: about 30 per cent of Kenya's roughly 836,000 registered refugees hold both a Refugee ID and a mobile money account, and fewer than one in ten is banked (March 2026), held back by documentation delays, uneven know-your-customer practice and weak interoperability between the two identity systems, formal eligibility running ahead of practical registration (2025).

Accessibility is recognised and unenforced. Research and a Sightsavers-commissioned assessment find USSD codes hard for visually impaired users, screen readers that do not work, and cash machines without braille or audio (2025). The National AI Strategy 2025–2030, the Persons with Disabilities Act 2025 and the ICT policy all recognise inclusion and set no accessibility standard or enforcement mechanism (July 2026).

The portal reaches a minority: eCitizen counted more than 13 million registered users against a population near 55 million (2025), with anyone lacking power, connectivity, literacy or a digital ID outside it. Price is not the obvious culprit — the data-only mobile basket costs under 2 per cent of gross national income per head (2024) — the device is, and the state's answer is credit: the ICT Cabinet Secretary has asked the Chamber of Commerce to design affordable laptop financing for young people, with no instrument, allocation or timetable attached (August 2026).

Digital divides

Lack of a national identity card is the reason Kenyans most often give for staying off the voters' roll: 37 per cent of unregistered respondents, and half of those aged 18 to 24, in TIFA Research's Road to 2027 fieldwork of June 2026. The register's gaps run heaviest through the young, so a documentation problem surfaces as a civic one.

Coverage is not what limits use. The Communications Authority and the statistics bureau record affordability and access as critical challenges in the same annual report that puts mobile population coverage at 98 per cent (June 2025), while national internet use sits far below the signal's reach. Handsets say the same: 50,175,502 smartphones against 28,534,230 feature phones as at 31 March 2026, feature phones still better than a third of connected devices.

In Tana River, the poverty rate is 66.7 per cent and close to nine in ten children face multidimensional deprivation (2022). KICTANet's focus-group work in the same county found trust rather than access the limit on women's phone use: women own the more expensive handsets, bought from business income and savings-group funds, and still meet male suspicion about managing them. CIPIT's work with Kenyans with disabilities names device and connectivity cost, exclusion from design, and distrust of how disability data is collected (July 2026). Fuliza overdrafts crossed KES 1.46 trillion in the year to March 2026, up 49.3 per cent, and the Daily Nation traces that growth to food, rent and school fees.

The state's answer is buildings. 588 Digital Hub sites are committed nationwide against a target of one hub in every ward, 46 Centres of Excellence and 40 Standard Digital Hubs under construction and 10,000 locally assembled desktops procured for the first 100 pilot hubs (August 2026); the programme blames the last generation's failure on recurrent cost — power, connectivity, maintenance — rather than capital or coverage. British aid works the edges: £4.77 million to March 2027 for last-mile connectivity and £2.3 million across eight arid and semi-arid counties, £1 million of it in refugee-hosting Garissa and Turkana.

Data

National statistics

Two of the five survey types the World Bank's Statistical Performance Indicators count are entirely unmet in Kenya: [no labour force survey and no business survey has been recorded within the last ten years \(2023\)](#), and data sources — the pillar measuring what a statistical system actually collects — [falls in the 20-49% band, much the weakest part of the system, against above 89% for data use and 70-89% for both data products and data infrastructure \(2023\)](#).

The census programme is the opposite case. [Population, agricultural and business censuses have all been run within the last ten years, meeting all three of the framework's core census requirements \(2023\)](#), alongside [three or more household surveys, three or more health surveys and two agricultural surveys \(2023\)](#). The capacity of the statistical system scores [59.5 of 100 in the 2024 Ibrahim Index, 15th of 54 African states, and has been flat since 2014 \(2023\)](#) — comparatively strong on the continent, and not improving. The gaps are specific rather than general: [the teaching workforce cannot be scored against the continent at all, for want of data \(2023\)](#).

Where administrative systems do the counting, the distance between a register and a live population is wide. Kenya has [more than 22 million registered taxpayers but only around seven million active filers \(April 2026\)](#), on a revenue authority whose [single-view-of-the-taxpayer data warehouse was built with Swedish assistance](#). The Central Bank counts [94.09m registered mobile-money accounts and 564,330 active agents at May 2026, up from 82.43m accounts at December 2024](#), a stock growing faster than any active-user series and carrying a large dormant tail. And the official numbers are not always traceable: [the figure the Central Bank gave Parliament on 20 January 2026 for monthly M-Pesa users, more than 32 million, sits on no series the operator publishes and carries no definition or as-of date of its own](#). Inside government, [the financial management system is used extensively to monitor programme performance but tracks indicators for only some programmes \(2025\)](#).

Open data

Kenya's draft National Data Governance Policy of May 2026 is mostly interoperability plumbing, but carries a data-marketplace component under which the state would monetise public data, a direction designed around India's DEPA-style individual consent architecture (July 2026). That design is contested on the ground that individual consent is the wrong unit for governing a national data asset held collectively, and that institutional governance is required in its place (July 2026) — the sharper question being what the state would be selling, given how little of what it holds it currently publishes.

The published base is real but uneven. [An open data portal with a full catalogue is maintained, its datasets refreshed on cycles running from monthly and quarterly to annual \(2025\)](#). On the 2024 Open Data Inventory the strongest showings are [balance of payments, trade and price statistics at 7.5 out of 10, with government finance, crime and justice and population statistics at 7.0](#); the weakest are [education facilities and food security at 4.0, with labour, national accounts, energy and education outcomes all at 4.5](#) — the areas a reader would need to judge jobs, growth or hunger. [Communications and digital data is the one category carrying no score at all \(2024\)](#).

The right to ask for what is not published is long established. The [Access to Information Act 2016](#) creates the statutory right to request information held by public bodies, and the law is in force with the machinery for making requests rated effective (2025). Accessibility of public records ranks [8th of 54 African states in the 2024 Ibrahim Index at 49.8 of 100, up 3.2 points over the decade to 2023](#), but disclosure of public records, where Kenya ranks [4th of 54 at 55.5, fell 6.6 points across the same period](#). The state's own digital estate is the least visible part: [documentation of the procurement, debt, public investment and tax systems, the data governance strategy and the data protection regime exists internally but is not published, and nothing at all is published for the GovTech coordinating body, the service portal or the digital transformation strategy \(2025\)](#).

Use of satellite data

The nationwide remote sensing and airborne geophysical survey financed by a China Eximbank concessional loan signed in 2017 [had drawn nothing by 30 June 2022](#), leaving the mapping it was to pay for unstarted five years after signature.

What Earth observation does reach the ground is privately run and donor-financed: [Apollo Agriculture underwrites credit for smallholder farmers from satellite data and machine learning, on a ten-year loan from the US development finance agency](#) (2021). The land record it might otherwise serve remains [only partly mapped and adjudicated](#).

Geopolitics

US / hyperscaler activities

Kenya was the [first signatory of the America First Global Health Strategy](#), signing a five-year, US\$2.5bn health cooperation framework with the United States on 4 December 2025, and the [data-sharing agreement inside it institutionalises US government and contractor access](#) to Kenyan health, genomic and pathogen data and to the national health-information systems themselves. The money is [earmarked against named systems](#) — the TaifaCare health management information system, the National Logistics Management System, KEMSA's iLMIS, the laboratory and surveillance systems and the national and county health data banks. It extends the longest-running strand of American digital assistance to Kenya, [a decade of USAID health-information funding](#) that built and sustained DHIS2 and KHIS2 and county health information systems, and which continues through the [Kenya Digital Health Ecosystem Activity to 2026](#). Access to African health data has [become a condition attached to global health funding](#) rather than a by-product of it.

The cloud footprint is thinner than the data one. There is no hyperscaler region: AWS runs a [Nairobi Local Zone parented to Cape Town](#) with Outposts alongside it — and on 18 August 2026 [signed a collaboration agreement with the Konza authority to put an Outpost and a startup and innovation centre of excellence on the technopolis, with certification training for authority staff and young Kenyans and credits for startups](#), carrying no capacity, investment figure or delivery date — and [Oracle's Nairobi region, to be hosted by iXAfrica](#), is not live. Google, AWS, Oracle and VMware all [attended the Olkaria data-centre groundbreaking and none was named as a tenant](#). What US platforms do hold is the commercial layer: [Safaricom took Amazon Web Services for generative-AI fraud detection, customer-service automation and engineer upskilling \(June 2025\)](#), putting US cloud AI inside the operator that runs M-PESA, and Meta has [Safaricom as landing and operating partner for its Daraja cable](#), its second into the country. The dependency runs both ways: [Meta's exit from content moderation and data annotation forced mass redundancies at Sama in April 2026](#).

American development finance sits in private connectivity rather than state systems — DFC loans to [poa! Internet for towers and customer equipment](#) and to [M-KOPA for smartphone and solar receivables](#), and USTDA feasibility studies for a [Mombasa–Malaba fibre and tower corridor](#). The two governments [held bilateral talks in July 2026 on Kenya's draft Data Governance Policy](#) and on secure cross-border data flows.

China activities

The Chinese footprint is mostly one of repayment, with one new framework signed on top of it. [Repayment of the Konza data-centre concessional loan from China Eximbank began on 31 March 2026](#) and runs to 2038; on 18 August 2026 the same authority [signed a memorandum with Guodong Network Communications Group covering the planning, investment, financing, design, development and maintenance of cloud, artificial intelligence, high-performance computing and smart-city infrastructure at Konza](#), naming no project, value, financing instrument or date and stating the financing models themselves as still to be explored. That 2019 loan, at two per cent over a

nineteen-and-a-half-year maturity, [financed a commercial contract with Huawei](#) for a national cloud data centre, a smart ICT network, public safe city and smart traffic systems and a government cloud. The national fibre backbone was built the same way, through [China Eximbank concessional loans in 2012 and 2016 whose proceeds paid Huawei](#) to lay the second phase of NOFBI, and Kenya has been [repaying that in semi-annual instalments since March 2019](#) with maturities running into the 2030s. Not everything committed was drawn: a 2017 China Eximbank loan for a nationwide remote-sensing and airborne geophysical survey [had disbursed nothing as at 30 June 2022](#), leaving the mapping unexecuted.

Huawei's commercial presence continues without concessional finance behind it. [Absa Bank Kenya rebuilt its branch network on Huawei SD-WAN \(2025\)](#) alongside cloud deployments and machine learning, and [Safaricom launched Kenya's first fibre-to-the-room service with Huawei in May 2026](#), putting optical access points in individual rooms with AI-based network management.

EU activities

The European Union is the [most frequent financier of Kenya's digital estate by number of commitments — eight, worth about US\\$187 million \(2026\)](#) — ahead of USAID with seven and the US DFC with five, though the largest individual sums come from the World Bank, China Eximbank and private data-centre developers. The anchor is [€28 million over 2022–2030 for Human-Centred Digitalisation](#) under a Team Europe initiative, which presents inclusive digitalisation as an EU strategic interest in the region as much as a development objective. European money reaches the parts of the estate nobody else funds: cybersecurity is the [thinnest-funded sector in the record, and both commitments in it are the EU's](#), the larger being a [programme running 2023–2029 framed around the security risks that accompany digital transformation](#) and the newer a [Kenya Cyber Resilience project implemented by Expertise France with EstDev from January 2026](#). Elsewhere it funds [last-mile connectivity for schools](#), the [digitalisation of technical and vocational training](#), and civil-society work through grants including [Sheria ya Vijana](#) and the [KenSafeSpace digital-rights coalition, which closed after thirty months citing communications and coordination capacity rather than advocacy content as its weakness](#).

What Europe holds in Kenyan systems is smaller than what it funds. [Cybernetica piloted an X-Road-based interoperability test environment between April 2024 and June 2025](#) and produced a framework document rather than a production platform; the [European Investment Bank's single Kenyan telecoms operation, a loan to Telkom Kenya, has closed](#). The durable influence is regulatory. Kenya's [draft AI Bill 2026 declares itself a transplant of the EU AI Act on its own Memorandum of Objects](#), while stripping out the extraterritorial reach, the pre-deployment impact assessment and the penalty tiers that give the original its force. [EU and German technical assistance supports Kenya's draft data-governance policy](#) even though the reuse of public data it contemplates would not be permitted inside Europe, and European support for [digital public infrastructure extends to digitising land registration so that ownership can be proved through an ID-linked system](#). Italy is also one leg of the [trilateral sovereign AI partnership signed with Kenya and India in February 2026](#).

Gulf/UAE activities

The Gulf's largest project in Kenya is one that has not been built: the [Microsoft–G42 data centre at Olkaria has stalled for want of power](#), its planned draw amounting to about a third of the national grid, and President Ruto has said that serving it would black out half the country. The project rests on a [March 2024 memorandum between G42 and Kenya's EcoCloud](#), signed in the presence of the President and the UAE ambassador, for a geothermal-powered site at the KenGen park at Olkaria, which remained a memorandum rather than a financed build.

The other Gulf position is in payments rather than infrastructure. M-Pesa Africa, the Safaricom–Vodacom joint venture, [agreed in January 2026 to work with Abu Dhabi's ADI Foundation](#) on deploying a layer-2 network across its eight markets and introducing stablecoin transactions, beginning with a dirham-backed stablecoin regulated by the UAE central bank.

India activities

India's presence in Kenya is a partnership and a building: [Kenya, India and Italy signed a trilateral sovereign AI partnership at the India AI Impact Summit in New Delhi on 20 February 2026](#), targeting 100 AI-deployment programmes by 2030 built on multilingual low-bandwidth voice AI with data sovereignty and local control, delivered through EkStep, Kenya's Directorate of Digital Economy and Italy's enterprise ministry with UNDP, under the G7 AI Hub and the Mattei Plan. Separately, Airtel Africa's data-centre arm Nxtra [broke ground in 2025 on a facility at Tatu City](#), a special economic zone outside Nairobi, to be built in two phases and to operate from the first quarter of 2027.

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